EXECUTIVE SUMMARY

1. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values district only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered for the poor of Peñablanca.

The audit covered the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2016, the financial information of the municipality is presented below:

Particulars	2016	2015	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	291,469,507.38	256,493,702.52	34,975,804.86	13.64%
Liabilities	19,682,270.24	8,648,607.67	11,033,662.57	127.58%
Government Equity	271,787,237.14	247,845,094.85	23,942,142.29	9.660
Result of Operations				
Revenues	231,383,047.64	210,881,714.97	20,501,332.67	9.72%
Expenses	208,455,249.79	185,832,287.82	22,622,961.97	12.17%
Total Appropriation	232,797,552.62	209,931,679.66	22,865,872.96	10.89%

Total Obligations	210,247,774.76	204,817,990.94	5,429,783.82	2.65%
Comparative Statements of Funds Received from NGAs, LGUs, NGOs, & POs				
Nat'l Gov't Offices		1,085,000.00		
Local Gov't Units				
Comparative Statements of Funds transferred to NGAs, LGUs, NGOs, & POs				
Local Gov't Units	230,400.00	230,400.00		

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to the effect on the non-preparation of bank reconciliation statements for CY 2016 rendering the Cash in Bank account balance under General Fund of P 32,313,232.81 unreliable; Property, Plant and Equipment of ₱247,315,972.85 is doubtful due to non-preparation and non-submission of the Report on the Physical Count of PPE; and Real Property Tax (RPT) amounting to ₱828,739.69, were doubtful due to non-setting up the total RPT and SET due and collectible at the beginning of the year.

4. Summary of Significant Observations and Recommendations

a. Advances for officers and employees totaling P260,355.60 remained unliquidated at year end due to the failure of management to demand concerned officials and employees to settle their accountabilities.

We recommended that the Municipal Accountant demand from concerned officers and employees to settle their respective cash advances otherwise deduct from any claims due them in satisfaction of their unsettled accountabilities.

b. The Local Disaster Risk Reduction and Management Plan for the mitigation fund integrated in the Annual Investment Plan for CY 2016 totaling ₱ 8,063,218.70 were not strictly implemented as planned.

We recommended that the municipal government implement all programs, projects and activities in the LDRRMP to ensure disaster preparedness and response capabilities at all levels in the locality.

c. The procurement of the municipality for medical supplies, office supplies and other supplies/services totaling P12,262,711.50 were made thru reimbursement/cash advances instead of public bidding.

We recommended that all procurement of goods and services should be through public bidding in accordance with the Revised Implementing Rules and Regulations of the Government Procurement Reform Act.

d. Several disbursement vouchers and its corresponding supporting documents were not submitted to the Audit Team Leader because the Municipal Accountant did not ensure completeness of supporting documents of disbursements before these are processed and recorded in the books of accounts.

We recommended that the Local Chief Executive should instruct the Municipal Accountant to ensure completeness because the submission of disbursement vouchers and its supporting documents before these are recorded in the books of accounts.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2015:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	3,609,416.00	0.00	1,183,408.00	2,426,008.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	3,609,416.00	0	0	3,609,416.00	0.00
Disallowances					
Prior Years	295,251.72	0.00	0.00	295,252.72	0.00
Current Year	0	0.00	0.00	0.00	0.00
Total	295,251.72	0.00	0.00	295,251.72	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the thirteen (13) audit recommendations embodied in the 2015 Annual Audit Report, three (3) was fully implemented, six (6) were partially implemented and four (4) were not implemented.